

IN THE HIGH COURT OF JUDICATURE AT DELHI

CIVIL APPEAL NO. 4521 OF 2021

Ramesh Kumar Agarwal ... Appellant

versus

Sunrise Textiles Pvt. Ltd. ... Respondent

JUDGMENT

1. This appeal arises out of a judgment and decree dated 14 March 2020 passed by the learned District Judge, South Delhi, in Civil Suit No. 112 of 2018, whereby the suit filed by the appellant for recovery of Rs. 18,50,000 along with interest was dismissed.
2. The appellant, a supplier of raw cotton, entered into a written agreement dated 2 January 2017 with the respondent, a textile manufacturing company, for the supply of 500 quintals of raw cotton at a price of Rs. 6,200 per quintal, to be delivered in four equal instalments over six months. The agreement contained a clause requiring payment within 30 days of each delivery.
3. The appellant's case is that three instalments were duly delivered and accepted by the respondent, but payment for the second and third instalments, amounting to Rs. 18,50,000, was never made despite repeated reminders and a legal notice dated 9 August 2017.
4. The respondent's defence was that the cotton delivered in the second and third instalments did not conform to the quality specifications agreed between the parties, namely a minimum staple length and moisture content threshold specified in Schedule A to the agreement, and that the respondent was therefore entitled to withhold payment under Clause 9 of the agreement, which permits the buyer to reject non-conforming goods.
5. The trial court accepted the respondent's defence, relying primarily on an inspection report prepared by the respondent's own quality control department, and held that the appellant had failed to prove conformity with the agreed specifications. The suit was accordingly dismissed with costs.
6. Before this Court, the appellant contends that the trial court erred in relying solely on an inspection report prepared unilaterally by the respondent, without any independent or joint inspection as contemplated under Clause 11 of the agreement, which required both parties to be present at the time of quality testing. The appellant further submits that the respondent's conduct in accepting and using the cotton in its manufacturing process for several months after delivery, without raising any contemporaneous objection, amounts to a waiver of any right to reject the goods on grounds of quality.
7. We find merit in the appellant's submission. Clause 11 of the agreement is unambiguous

in requiring a joint inspection. The respondent's unilateral inspection report, prepared without notice to or participation by the appellant, cannot by itself discharge the respondent's burden of proving non-conformity, particularly where the respondent has gone on to use the goods in its production process. Acceptance and use of goods for an extended period, without timely objection, is ordinarily inconsistent with a subsequent claim of non-conformity.

8. For these reasons, we are of the view that the trial court's finding cannot be sustained. The judgment and decree dated 14 March 2020 are set aside. The respondent is directed to pay the appellant a sum of Rs. 18,50,000 together with interest at 9% per annum from the date of the legal notice, namely 9 August 2017, until realisation.

9. The appeal is allowed. The respondent shall also bear the appellant's costs of these proceedings, quantified at Rs. 75,000.

Ordered accordingly.